India is the world's largest producer and consumer of milk and dairy products. Much of the success of India's white revolution is attributed to the success of milk co-operatives across the country. Large milk federations like Amul buy milk every day from district-level cooperatives, who buy their milk from block- or taluka-level cooperatives called sanghs, which in turn purchase milk from village mandalis. At the base of the milk supply pyramid is the individual dairy farmer, who has no time for bank visits between grazing his cattle, milking them, and delivering milk twice a day to village dairy mandali.

When the Central Government banned all district cooperative banks from exchanging or receiving deposits of demonetized currency notes, this proved crippling for members of dairy cooperatives.

- Nearly 50 days after demonetization was announced, the farmers from the village of Timba were on their third trip to the bank in Gujarat's Surendranagar district to try to open new accounts. They had travelled the 30 km from Timba to Surendranagar town in a group, so that they could help each other with the seemingly overwhelming process of filling out the bank forms correctly. 'I haven't been paid for any of the milk I sold in the past 50 days,' said Govindbhai Rabari, a 70-year-old dairy farmer who looked utterly lost in the corridors of the bank. 'Hundreds of us have spent the past seven weeks without any money.'
- 'Dairy farmers need cash to buy essentials for their cattle and their homes, and I usually pay them every 10 days for all the milk they have delivered,' said Tejabhai Tamaliya, the secretary of a milk cooperative in Surendranagar's Diksar village. Tamaliya's cooperative has 150 members, whom he needs to pay at the current rate of ₹5.9 per kilo fat of milk (the amount of milk that would yield 1 kilo of fat). Since most of them haven't been paid in 50 days, Tamaliya now owes his members a total of nearly ₹15 lakh. 'I have the money in my account, but a withdrawal limit of